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Payments and Processing | North America

2Q26 Acceptance Tracker: Venmo's Attrition Rate Increases; Affirm, Klarna, & Google Pay See Strong Advances

Venmo's higher churn suggests the button isn't driving meaningful conversion, and we're monitoring PayPal's churn as Shop Pay overtakes it as the button with least attrition. Google & Shop Pay are seeing healthy gross adds and decreasing churn, while Klarna & Affirm both saw strong quarterly adds.

Venmo (PYPL) saw just one net add, as gross churn continued to increase, indicating the button isn't driving conversion at merchants. Venmo added 8 and lost 7 merchants in 2Q, bringing Venmo's total to 89 merchants and keeping its acceptance share at 19% by count (unchanged from 1Q25) and 8% by volume ex-Amazon (also unchanged). As a reminder, 1Q26 marked the first time we tracked higher merchant removals vs. additions for Venmo, with the Venmo button losing 1 net merchant in 1Q (added 4 and lost 5). We have previously called out Venmo's relatively high levels of gross merchant churn, which returned to higher levels at 5.6% in 1Q and now 8% in 2Q, the highest among wallets we track. **We think the relatively high churn, especially vs. PayPal (historically below 0.5% churn on a large base) could suggest that the Venmo button isn't driving meaningful improvement in checkout conversion on websites, leading retailers to remove the option shortly after adding it.** We believe merchants tend to clean up their checkout pages of a payment option when it is not driving at least ~5% of volume, The average tenure of Venmo on the 17 merchants that have uninstalled it at some point since 1Q25 is about 4.5 quarters (according to our tracker data).

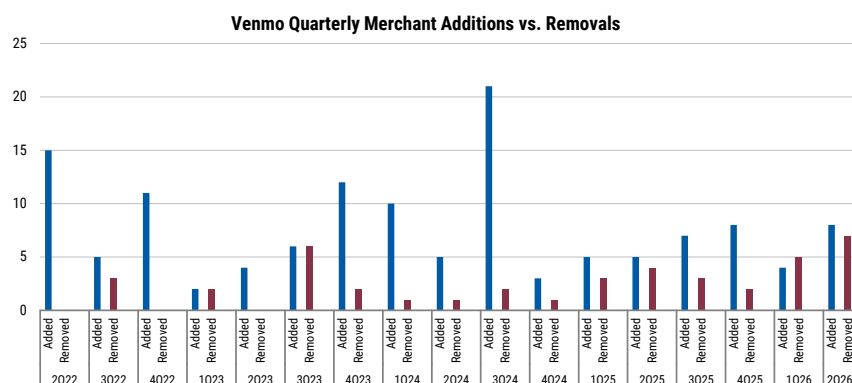
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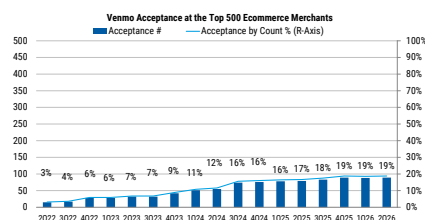
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Exhibit 1: Venmo sees high attrition relative to additions among 500 online merchants we track



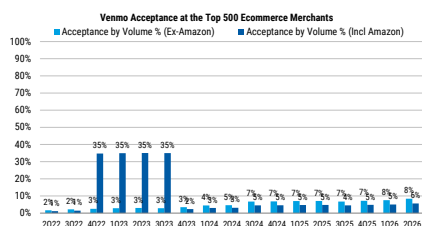
Source: Internet Retailer, Morgan Stanley Research

Exhibit 2: Venmo has seen limited net checkout expansion since we began tracking



Source: Internet Retailer, Morgan Stanley Research

Exhibit 3: With acceptance share on a volume basis even lower



Source: Internet Retailer, Morgan Stanley Research

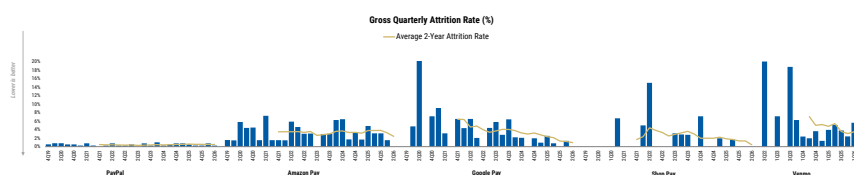
We believe that the opportunity to monetize Venmo's younger user base has likely passed, following: 1) years of slow progress on acceptance; 2) competition from other P2P and fintech credit providers; and 3) maturation in the customer base. As highlighted in our [Downgrade to UW](#), we previously saw Venmo as a critical path for PayPal to keep winning checkout share with the Gen Z/Y population, which could in turn support PayPal's ability to keep growing above the rate of overall ecommerce long term as those younger customers aged and increased incomes and spending. However, Venmo was slow to expand its checkout payment availability at merchants and build payment and financial habits with customers, with Venmo acceptance at a fraction of PayPal overall at just 8% of the top 500 retailers by volume ex-Amazon (vs. 87% for PayPal), and even though over 90% of Venmo users engage with P2P, we believe only up to ~10% are using the debit card or Pay with Venmo. We think monetization has been slow because over the five years since Covid-19, we believe a critical mass of Venmo users have been establishing payment and banking behaviors elsewhere, including on Zelle, Affirm, Apple Pay, and opening up credit cards with incumbents and the likes of Chime.

PayPal: Maintains steady acceptance share lead; still watching gross attrition trends as Shop Pay takes lead as digital wallet with lowest churn rate. PayPal added 1 net merchant (added 2 and lost 1) in 2Q, and still maintains an acceptance share lead at 84% by count (unchanged) and 87% by volume ex-Amazon (down

from 88% in 1Q). While 2Q's gross attrition of 1 merchant is in line with PayPal's historically low rate, we highlight that, in recent quarters, we've noticed slightly more variable and higher rates of churn, with 1Q's 0.76% attrition rate higher than 4Q/3Q's 0.25%, and more in line with the elevated 0.51% rate in 2Q25 and 0.76% rate in 1Q25. **The average 2-year average gross attrition rate now stands at 0.51%, up from 0.38% in the 1Q22-4Q23 period.** While overall attrition remains low under 1%, we will continue monitoring this metric as PayPal has historically had very low attrition that's remained well below industry peers, which had been an indication to us that it's still driving at least satisfactory conversion on merchant checkout pages.

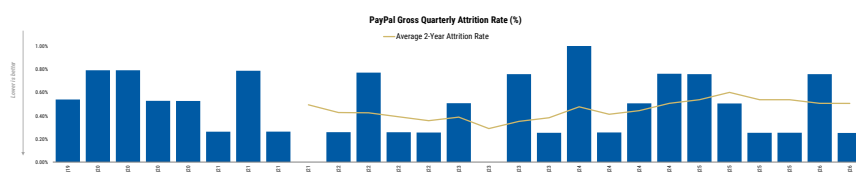
In fact, Shop Pay's attrition is now averaging below PayPal's for the first time after three quarters of zero merchant losses. Its 2-year average gross churn rate now stands at 0.4%, and we think this is indicative that, even though Shop Pay has a smaller presence online (19% by count), its interface is driving conversion at checkout and supporting merchant stickiness. In comparison, the next leading digital wallets see higher rates of churn including Amazon Pay (2.4% two-year average gross attrition rate) and Google Pay (0.9%), though attrition has been consistently trending down for those players.

Exhibit 4: PayPal has historically had meaningfully lower gross churn rates than digital wallet peers (off a much larger base), though Shop Pay now has the lead after several quarters of zero gross churn



Source: Internet Retailer, Morgan Stanley Research

Exhibit 5: PayPal's gross attrition rate has been more variable and higher in recent quarters while Google Pay's and Shop Pay's churn have been trending down



Source: Internet Retailer, Morgan Stanley Research

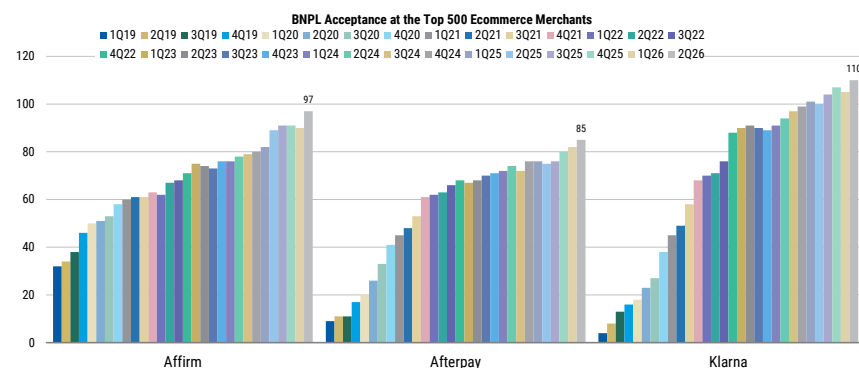
Affirm: Strong acceptance expansion in 2Q, and encouraged by partnerships with scaled digital wallets. In 2Q, Affirm gained 7 net new merchants (added 9 and lost 2), up from 1 net loss in 1Q and zero adds in 4Q, increasing its acceptance by count to 20% (from 19%). Acceptance by volume (ex-Amazon) expanded to 26% (from 23%) as Affirm added larger volume merchants. Our Acceptance Tracker doesn't capture acceptance via partnerships such as with Shop Pay Installments and the Apple Pay integration, however, we have consistently said that we think partnerships with other scaled digital wallets are the best way for Affirm and BNPLs to quickly expand acceptance, and are encouraged by the progress Affirm is making on this effort.

Klarna: Maintaining BNPL acceptance share lead with solid expansion. In 2Q,

Klarna gained 5 net new merchants (added 6 and lost 1), up from the -2 net loss pace of 1Q and moving its acceptance by count to 23% (from 22%). Acceptance by volume (ex-Amazon) also went to 23% (from 22%). While quarterly net adds for Klarna have been slower the last few quarters, we are similarly encouraged by Klarna's partnerships with scaled digital wallets like Apple Pay and Google Pay.

Afterpay (XYZ): Consistent acceptance expansion is encouraging and supportive of credit expansion story, but we would like to see faster acceptance expansion to expand credit access to Cash App customers. In 2Q, Afterpay added 3 net merchants (added 3 and lost 0), up from 2 net new adds in 1Q, increasing its acceptance by count to 17%, and keeping its acceptance by volume ex-Amazon to 15%. In our recent **upgrade to OW**, we give credit to XYZ's Cash App for driving long-term monetization of its customer base primarily through the growth in credit services, which can support TAM expansion to higher-income customers. As part of that credit progression, we view Afterpay as an important contributing element, both as a customer acquisition and credit-quality assessment tool. However, with Afterpay's muted level of acceptance, we think that tool is thus far being underutilized, and would thus like to see faster integration of Afterpay across online merchants, particularly via partnerships.

Exhibit 6: BNPL providers' acceptance by merchant count



Source: Internet Retailer, Morgan Stanley Research

Cash App (XYZ): Cash App Pay is still only at a small share of online merchants, imperiling effort to "close the loop." We remain unconvinced by XYZ's long-stated objective of "closing the loop," given Cash App Pay's limited spending share (debit card capturing ~1% of US card spend) and Cash App Pay's limited acceptance online (at just 10 of the top 500 online merchants, or 2% by count), along with Square's SMB merchant base (~2% of US card spend). Cash App Pay added zero net new merchants in 2Q, and at this slow pace of expansion, we think growing Cash App's acceptance is highly unlikely to meaningfully improve Block's ability to build a closed-loop network.

Acceptance Performance by Other Payment Providers:

- l **Amazon Pay added 2 net new merchants:** Amazon Pay added 2 and lost zero merchants, bringing its total to 71 merchants or 15% by count. On a volume-weighted basis (ex-Amazon), Amazon Pay's penetration is steady at 4% (unchanged since June 2019).
- l **Shop Pay added 7 merchants, though acceptance remains below**

peers: Shop Pay added 7 net new merchants (added 7 and lost 0), bringing its acceptance by count to 19% (from 17%), while acceptance on a volume basis remains limited, at just 5% ex-Amazon (unchanged).

- l **Google Pay continues healthy advance:** Google Pay added 17 new merchants (added 17 and lost 0), bringing its total acceptance to 36% by count, up from 32% in 1Q.

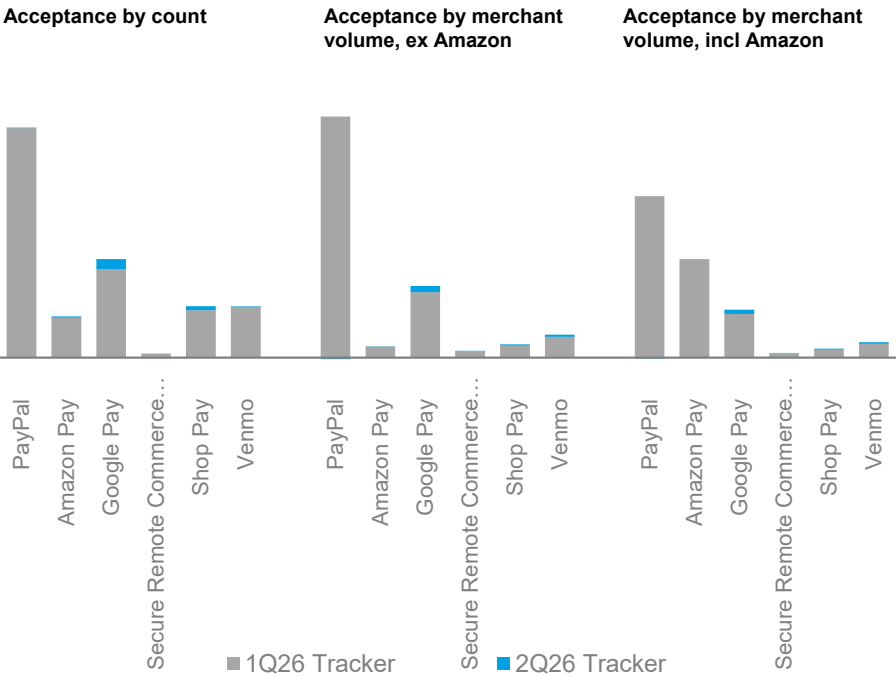
- l **Bitcoin acceptance remains at low-single digits:** Bitcoin lost 1 net merchants in 2Q, keeping its acceptance at 1% by count and 2% by volume ex-Amazon. Despite increased consumer awareness and interest in Bitcoin over the last decade, we have not seen any notable progress in Bitcoin's ability to challenge V, MA, and other wallets in online acceptance.

AMZN and GOOGL are covered by Brian Nowak and SHOP is covered by Josh Baer

Key Charts from Tracker

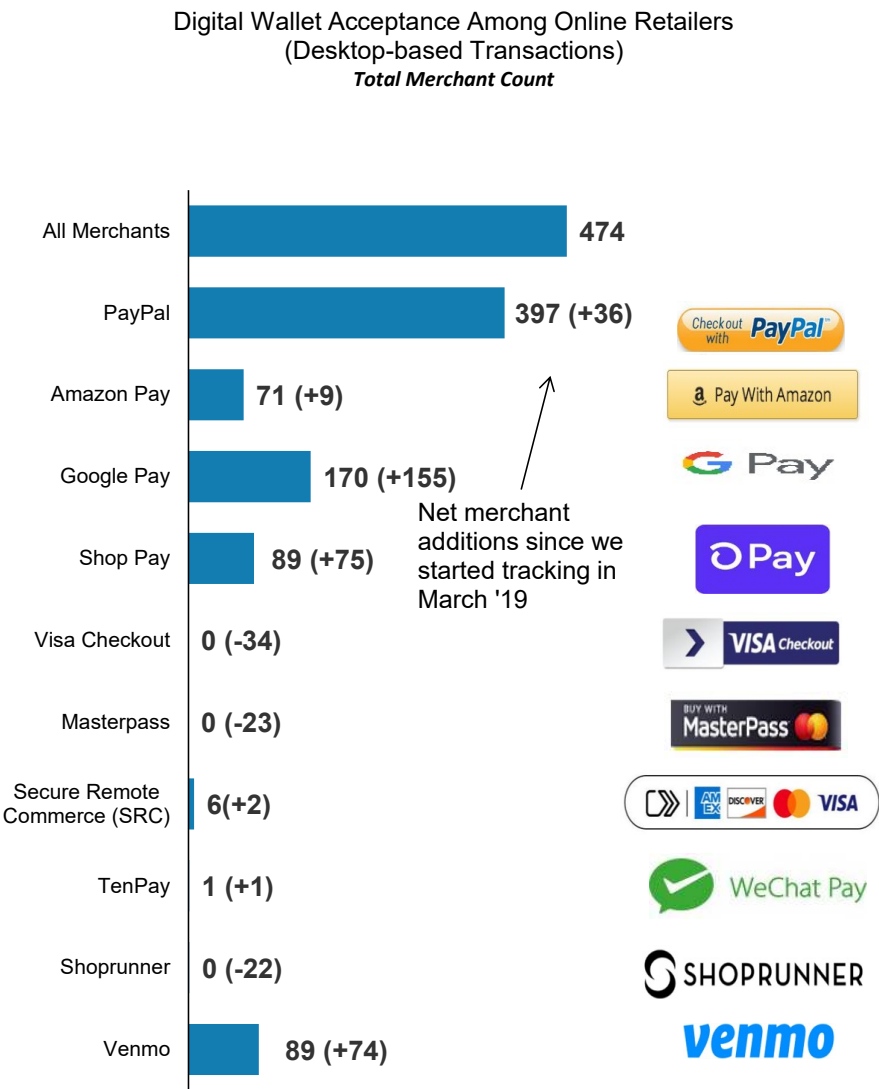
About our tracker: We gathered payment acceptance data on the websites of Internet Retailer's top 500 online merchants (2018 database). We were unable to gather data for 26 of these retail websites and hence our conclusions are based on 474 leading online retailers that in aggregate represented \$454bn in 2017 web sales. We note that for NA-based companies, the Internet Retailer includes global sales data, while for global companies, it includes only US volumes.

Exhibit 7: While PayPal's digital wallet remains firmly in the lead, XYZ



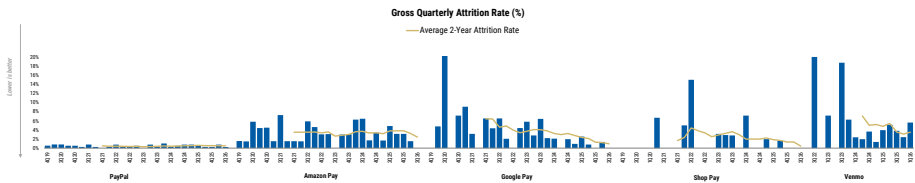
Source: Internet Retailer, Morgan Stanley Research

Exhibit 8: Summary of total merchant count acceptance among top 474 merchants



Source: Internet Retailer, Morgan Stanley Research

Exhibit 9: Gross Attrition Rate for Key Digital Wallets



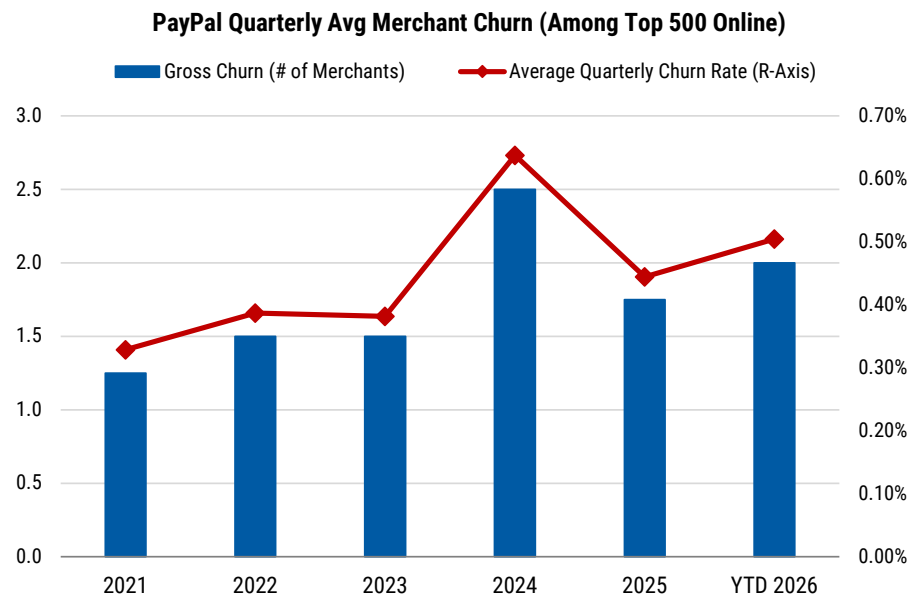
Source: Internet Retailer, Morgan Stanley Research

Note: Attrition is calculated as total losses in the quarter as a % of last quarter's number of merchants who accept the digital wallet

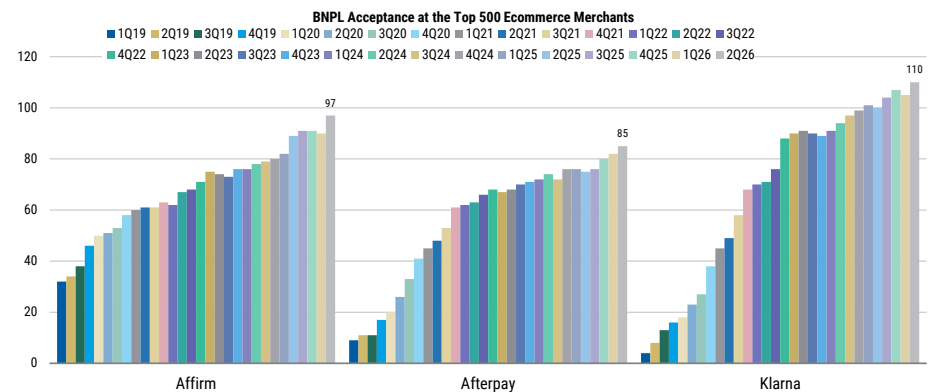
Exhibit 10: Detailed PayPal Acceptance

Subset of Top Merchants	PYPL Acceptance		
	By Count	By Volume (incl Amazon)	By Volume (ex Amazon)
Top 5	80%	35%	100%
Top 10	80%	41%	95%
Top 20	80%	45%	90%
Top 30	83%	49%	90%
Top 50	84%	51%	89%
Top 100	85%	54%	88%
Top 477	84%	58%	87%

Source: Internet Retailer, Morgan Stanley Research

Exhibit 11: PayPal's gross attrition is showing slight improvement in 2025

Source: Internet Retailer, Morgan Stanley Research

Exhibit 12: BNPL providers' acceptance by merchant count

Source: Internet Retailer, Morgan Stanley Research

Valuation Methodology and Risks

PayPal Holdings, Inc. (PYPL.O)

Our PT is based on a ~7x multiple on our SBC-burdened CY27 EPS estimate. We think such a P/E valuation makes sense as it's in-line to slightly above most payment processing peers on a growth adjusted basis on our below-Street forecasts.

Risks to Upside

Faster than expected ecommerce growth

Quicker enabling by PayPal partners and merchants of the most advanced PayPal Checkout integrations,

Faster expansion and usage of Venmo checkout across large online m

Risks to Downside

Slowdown of eCommerce growth (ex-Amazon)

Competition in Branded and Braintree result in further volume deceleration and price pressure

Margins compress faster on opex needs

Block, Inc (XYZ.N)

Our price target applies an 18x multiple to CY27 SBC-burdened adjusted EPS, which is in-line to peers' on a growth-adjusted basis.

Risks to Upside

- Faster ramp in Cash app credit products could accelerate revenue/user growth
- Faster-than-expected move up-market, without deterioration in take rate, could drive upside from core payment
- Meaningful profitability outperformance

Risks to Downside

- Expansion internationally/up-market pressure margins, and slow vol. ramp limits growth.
- Competition drives pricing pressure across merchant segments
- Regulatory intervention

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Block, Inc (XYZ.N) - As of 07/10/26 GMT in USD
Industry : Payments and Processing



Stock Rating History: 7/1/21 : E/A; 8/1/21 : NA/A; 10/10/21 : NA/A; 3/23/22 : E/A; 4/4/24 : U/A; 2/25/25 : E/A; 4/3/25 : O/A; 8/5/25 : E/A; 2/27/26 : O/A

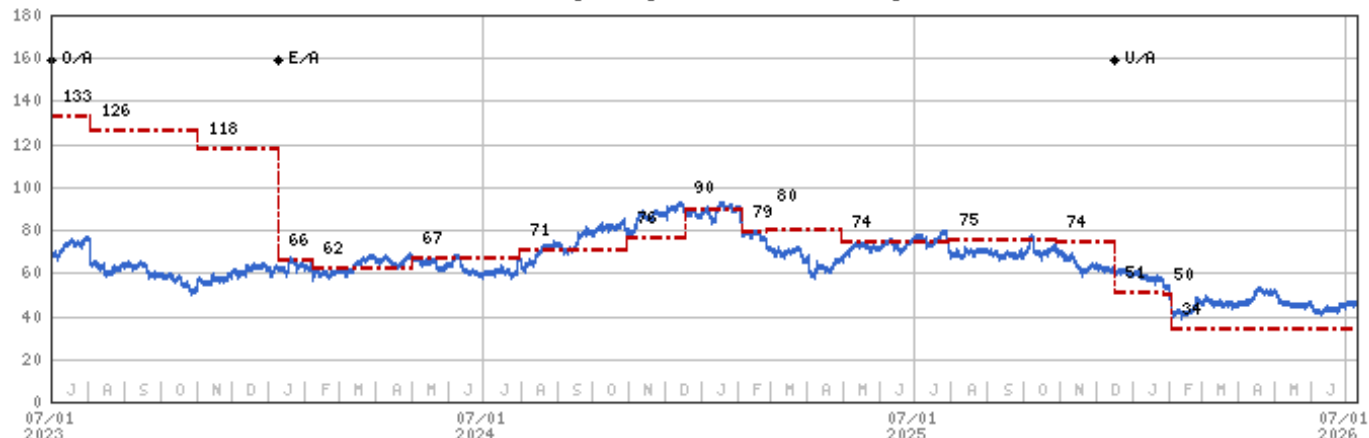
Price Target History: 5/7/21 : 254; 8/1/21 : NA; 10/10/21 : NA; 3/23/22 : 146; 5/6/22 : 118; 5/19/22 : 110; 8/5/22 : 85; 11/4/22 : 67; 12/8/22 : 66; 2/21/23 : 67; 2/24/23 : 72; 3/28/23 : 70; 8/4/23 : 69; 11/3/23 : 55; 2/23/24 : 62; 4/4/24 : 60; 7/30/24 : 55; 11/8/24 : 60; 12/18/24 : 65; 4/3/25 : 67; 5/2/25 : 65; 7/8/25 : 73; 8/8/25 : 77; 11/7/25 : 71; 11/20/25 : 72; 2/27/26 : 93; 5/8/26 : 96; 5/29/26 : 98

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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PayPal Holdings, Inc. (PYPL.O) - As of 07/10/26 GMT in USD
Industry : Payments and Processing



Stock Rating History: 7/1/21 : 0/A; 1/9/24 : E/A; 12/18/25 : U/A

Price Target History: 5/6/21 : 337; 7/29/21 : 340; 11/9/21 : 265; 1/20/22 : 217; 2/2/22 : 190; 4/28/22 : 139; 5/10/22 : 137; 6/2/22 : 129; 8/3/22 : 134; 10/28/22 : 135; 11/4/22 : 136; 2/6/23 : 133; 8/3/23 : 126; 11/2/23 : 118; 1/9/24 : 66; 2/8/24 : 62; 5/1/24 : 67; 7/31/24 : 71; 10/30/24 : 76; 12/18/24 : 90; 2/5/25 : 79; 2/26/25 : 80; 4/30/25 : 74; 7/30/25 : 75; 10/29/25 : 74; 12/18/25 : 51; 1/28/26 : 50; 2/4/26 : 34

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/09/2026)
James E Faucette		
Affirm Holdings Inc (AFRM.O)	E (06/25/2026)	\$83.78
Automatic Data Processing Inc (ADP.O)	E (02/25/2021)	\$241.28
Block, Inc (XYZ.N)	O (02/27/2026)	\$77.42
Broadridge Financial Solutions Inc. (BR.N)	E (12/14/2022)	\$147.32
Chime Financial Inc (CHYM.O)	O (07/07/2025)	\$21.31
Circle Internet Group Inc. (CRCL.N)	E (02/02/2026)	\$63.01
Evertec Inc (EVTC.N)	E (11/21/2024)	\$28.87
Fidelity National Information Services (FIS.N)	E (07/07/2026)	\$41.61
Fiserv Inc. (FISV.O)	E (10/30/2025)	\$51.65
Galaxy Digital Inc. (GLXY.O)	O (11/06/2025)	\$25.10
Global-e Online Ltd. (GLBE.O)	O (03/26/2025)	\$37.84
Global Payments Inc (GPN.N)	E (06/22/2026)	\$74.38
Jack Henry & Associates, Inc. (JKHY.O)	E (06/15/2022)	\$150.22
Klarna Group Plc (KLAR.N)	E (10/06/2025)	\$19.99
MasterCard Inc (MA.N)	O (03/28/2016)	\$523.20
Paychex Inc (PAYX.O)	E (02/25/2021)	\$106.26
PayPal Holdings, Inc. (PYPL.O)	U (12/18/2025)	\$45.32
Shift4 Payments Inc. (FOUR.N)	E (08/25/2023)	\$49.29
SS&C Technologies Holdings, Inc. (SSNC.O)	E (10/28/2019)	\$66.73
Upstart Holdings, Inc. (UPST.O)	E (02/14/2025)	\$33.23
Verra Mobility Corp (VRRM.O)	E (05/26/2021)	\$4.22
Visa Inc. (V.N)	O (03/28/2016)	\$348.20
Western Union Co (WU.N)	U (02/02/2015)	\$7.82
Michael N Infante		
Corpay Inc (CPAY.N)	O (01/26/2026)	\$351.16
Flywire Corp (FLYW.O)	O (03/02/2026)	\$18.02
Marqeta, Inc. (MQ.O)	E (02/25/2026)	\$15.51

nCino, Inc. (NCNO.O)	O (09/10/2025)	\$16.98
NerdWallet Inc. (NRDS.O)	U (03/13/2026)	\$9.62
Q2 Holdings Inc (QTWO.N)	E (08/10/2020)	\$52.14
WEX Inc (WEX.N)	E (02/25/2021)	\$153.83

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